

A trading legend's rule, actually checked

generated 2026-09-01 21:58 CEST

Linda Raschke's trend-day observation · USTEC M1, 2017–2026 · 15 lots · 1.25 pt friction · in and out the same morning

L Linda Raschke
the observation

THE RULE

A trend day that closes near its extreme and never touches the 20-EMA. Next morning: enter at the open, toward the EMA.

Stated as published — not a quote.

T The Milk Man
the post that started this

THE CLAIM

71% win rate
2.19 profit factor
6.0x profit / drawdown
about 15 setups a year
The numbers exactly as posted.

H Hawk Quant
us, replying with the data

THE REPLY

It holds — but not for the stated reason. The trend day barely matters. What carries it is that the EMA went untouched.
Nine other instruments tested. None passed.

\$52,560

net profit
15 lots, after costs

2.32

profit factor
claim: 2.19 on NQ

\$10,356

deepest drawdown
5.1x profit / drawdown

100th

percentile vs noise
of 400 random variants

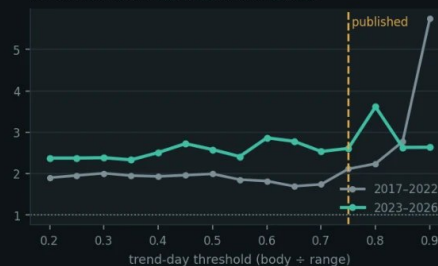
Cumulative profit on 15 lots, after costs



Which half carries it? (profit factor)



The threshold is a plateau, not a peak



400 runs: random days, random direction



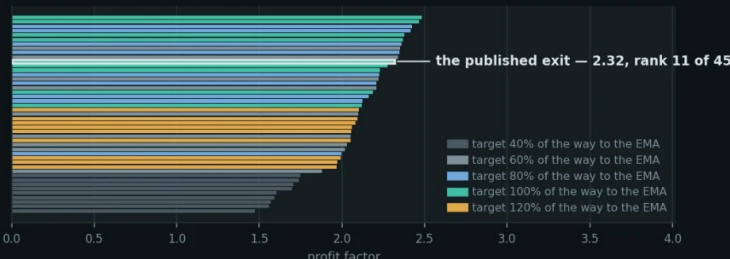
The control the author proposed



By year



45 exit variants: 5 targets × 3 stops × 3 cut-off times



Backtest, not live results. USTEC is a CFD, not the NQ future — 1 USD per index point per lot, quoted here at 15 lots. The strategy is stopless by design.

Every headline parameter comes straight from the publication. The variants were searched, so they are judged out of sample: 2017–2022 to choose, 2023–2026 to grade. Sixteen extra filters were tried; none beat random pruning.